

Breakout direction. As I mentioned earlier, the breakout is downward from a double top by definition. A breakout happens when price closes below the lowest valley between the two peaks.

Yearly position, performance. What position in the yearly high–low trading range performs best? Those double tops with breakouts within a third of the yearly low outperform the other two thirds. You'll want to avoid trading double tops with breakouts near the yearly high. Or to put it another way, if you own a stock making new highs and you see a double top, don't freak out. The decline may be less than you expect (and the pattern may not confirm anyway). However, you may run across the outlier and have your wallet or purse ripped out of your hands, so do your diligence checks.

Pullbacks. Almost two out of three (64%) Eve & Adam double tops pull back to the breakout price and take an average of 12 days to complete the trip. When price does pull back, the upward retrace breaks downward momentum and performance suffers. At least that's the story I'm telling everyone.

After a pullback completes, price returns, trending downward just over half the time.

Before trading, look for underlying support. If a support zone is nearby, then bet on a pullback happening.

Gaps. Gaps hurt performance, as [Table 32.4](#) shows. The performance difference is minimal, though.

[Table 32.5](#) shows pattern size statistics.

Height. Tall patterns perform better than short ones. I measured height from the higher of the two peaks to the confirmation price, then divided by the confirmation price. Results higher than the median, shown in the table, mean the pattern was tall.

Width. I looked at pattern width, measuring between the highest high in each peak, and compared that to the median length. Wide patterns outperformed narrow ones.

Height and width combinations. Patterns both tall and wide performed best. Avoid those that are short (either wide or narrow).